ZENITH PRECISION MANUFACTURING PRIVATE LIMITED

CIN: U28112MH2018PTC123456

Regd. Office: Plot No. 45, Phase II, MIDC Industrial Area, Andheri East, Mumbai, Maharashtra 400093.

AUDITED FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR 2024-25

Statutory Auditors:

M/s. Sharma & Rao Associates
Chartered Accountants
Firm Registration No: 198765W

<u>INDEPENDENT AUDITOR'S REPORT</u>

To the Members of Zenith Precision Manufacturing Private Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Zenith Precision Manufacturing Private Limited** ("the Company"), which comprise the Balance Sheet as at 31st March 2025, the Statement of Profit and Loss, and the Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March 2025, and its profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the Annexure A, a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2. As required by Section 143(3) of the Act, we report that:

- (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
- (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
- (c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account.
- (d) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
- (e) On the basis of the written representations received from the directors as on 31st March 2025 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March 2025 from being appointed as a director in terms of Section 164(2) of the Act.

For Sharma & Rao Associates
Chartered Accountants
Firm Registration No: 198765W

CA. Rajesh Sharma
Partner
Membership No: 098765
UDIN: 25098765AAAAAB1234

Place: Mumbai
Date: 28th August 2025

BALANCE SHEET AS AT 31ST MARCH 2025

(All amounts in ₹ Thousands, unless otherwise stated)

Particulars	Note No.	As at 31 March 2025	As at 31 March 2024
I. EQUITY AND LIABILITIES			
1. Shareholders' Funds			
(a) Share Capital	3	10,000	10,000
(b) Reserves and Surplus	4	45,000	28,000
2. Non-Current Liabilities			
(a) Long-Term Borrowings	5	15,000	18,500
(b) Deferred Tax Liabilities (Net)		1,250	1,000
3. Current Liabilities			
(a) Trade Payables	6	22,000	18,000
(b) Short-Term Provisions		5,750	4,500
TOTAL		**99,000**	**80,000**
II. ASSETS			
1. Non-Current Assets			
(a) Property, Plant and Equipment	7	38,000	32,500
2. Current Assets			
(a) Inventories	8	18,500	16,000
(b) Trade Receivables	9	32,000	25,000
(c) Cash and Bank Balances	10	10,500	6,500
TOTAL		**99,000**	**80,000**

Significant Accounting Policies and Notes to Accounts form an integral part of these financial statements.

As per our report of even date attached.

For and on behalf of the Board of Directors of
Zenith Precision Manufacturing Pvt. Ltd.

For Sharma & Rao Associates
Chartered Accountants
FRN: 198765W

CA. Rajesh Sharma
Partner
M. No: 098765

Vikram Desai
Managing Director
DIN: 01234567

Anjali Desai
Director
DIN: 01234568

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31ST MARCH 2025

(All amounts in ₹ Thousands, unless otherwise stated)

Particulars	Note No.	Year ended 31 March 2025	Year ended 31 March 2024
I. Revenue from Operations	11	185,000	150,000
II. Other Income	12	1,500	1,200
III. Total Revenue (I + II)		**186,500**	**151,200**
IV. Expenses:			
Cost of Materials Consumed	13	95,000	78,000
Changes in Inventories of Finished Goods		(2,500)	(1,500)
Employee Benefit Expenses	14	35,000	28,500
Finance Costs	15	2,500	3,000
Depreciation and Amortization Expenses	7	5,500	4,800
Other Expenses	16	28,000	22,400
Total Expenses (IV)		**163,500**	**135,200**
V. Profit Before Tax (III - IV)		**23,000**	**16,000**
VI. Tax Expense:			
(1) Current Tax		5,750	4,000
(2) Deferred Tax		250	-
VII. Profit for the Period (V - VI)		**17,000**	**12,000**
VIII. Earnings Per Equity Share (Basic & Diluted) (₹)		17.00	12.00

As per our report of even date attached.

For and on behalf of the Board of Directors of
Zenith Precision Manufacturing Pvt. Ltd.

For Sharma & Rao Associates
Chartered Accountants
FRN: 198765W

CA. Rajesh Sharma
Partner
M. No: 098765

Vikram Desai
Managing Director
DIN: 01234567

Anjali Desai
Director
DIN: 01234568

<u>CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH 2025</u>

(All amounts in ₹ Thousands, unless otherwise stated)

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
A. Cash Flow from Operating Activities		
Net Profit Before Tax	23,000	16,000
Adjustments for:		
Depreciation and Amortisation	5,500	4,800
Finance Costs	2,500	3,000
Operating Profit before Working Capital Changes	**31,000**	**23,800**
Adjustments for Working Capital:		
(Increase)/Decrease in Trade Receivables	(7,000)	(5,500)
(Increase)/Decrease in Inventories	(2,500)	(3,000)
Increase/(Decrease) in Trade Payables & Provisions	5,250	4,500
Cash Generated from Operations	**26,750**	**19,800**
Direct Taxes Paid (Net)	(5,750)	(4,000)
Net Cash Flow from Operating Activities (A)	**21,000**	**15,800**
B. Cash Flow from Investing Activities		
Purchase of Property, Plant and Equipment	(11,000)	(8,500)
Net Cash Flow from / (used in) Investing Activities (B)	**(11,000)**	**(8,500)**
C. Cash Flow from Financing Activities		
Proceeds / (Repayment) of Long-Term Borrowings	(3,500)	(4,000)
Interest Paid	(2,500)	(3,000)
Net Cash Flow from / (used in) Financing Activities (C)	**(6,000)**	**(7,000)**
Net Increase / (Decrease) in Cash and Cash Equivalents (A+B+C)	**4,000**	**300**
Cash and Cash Equivalents at the beginning of the year	6,500	6,200
Cash and Cash Equivalents at the end of the year	**10,500**	**6,500**

NOTES FORMING PART OF THE FINANCIAL STATEMENTS

Note 1: Corporate Information

Zenith Precision Manufacturing Private Limited ("the Company") is a private limited company incorporated and domiciled in India. The Company is primarily engaged in the business of manufacturing precision engineering components for industrial applications. The registered office of the Company is located in Mumbai, Maharashtra.

Note 2: Significant Accounting Policies

(a) Basis of Preparation
The financial statements of the Company have been prepared in accordance with generally accepted accounting principles in India (Indian GAAP). The Company has prepared these financial statements to comply in all material respects with the Accounting Standards notified under Section 133 of the Companies Act 2013, read together with paragraph 7 of the Companies (Accounts) Rules, 2014. The financial statements have been prepared on an accrual basis and under the historical cost convention.

(b) Use of Estimates
The preparation of financial statements requires the management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the end of the reporting period. Although these estimates are based on the management's best knowledge of current events and actions, uncertainty about these assumptions and estimates could result in the outcomes requiring a material adjustment to the carrying amounts of assets or liabilities in future periods.

(c) Property, Plant and Equipment (PPE)
PPE are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. The cost comprises purchase price, borrowing costs if capitalization criteria are met and directly attributable cost of bringing the asset to its working condition for the intended use.

(d) Depreciation
Depreciation on Property, Plant and Equipment is provided using the Written Down Value (WDV) method over the useful lives of the assets as prescribed under Schedule II to the Companies Act, 2013.

(e) Inventories
Inventories are valued at the lower of cost and net realizable value. Cost includes cost of purchase and other costs incurred in bringing the inventories to their present location and condition. Cost of work-in-progress and finished goods includes appropriate proportion of variable and fixed overheads.

(f) Revenue Recognition
Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. Revenue from sale of goods is recognized when all the significant risks and rewards of ownership of the goods have been passed to the buyer, usually on delivery of the goods.

Note 3: Share Capital

Authorized: 1,500,000 Equity Shares of ₹10 each	15,000
Issued, Subscribed & Paid-up: 1,000,000 Equity Shares of ₹10 each	10,000

Note 4: Reserves and Surplus

Surplus in Statement of Profit and Loss (Opening)	28,000

Add: Profit for the year	17,000
Closing Balance	**45,000**

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